

2. A sinking fund of 10% of the issue each year (\$1,000,000 per annum) was to retire 90% of the issue prior to maturity.
3. Net current assets must at all times equal at least 150% of the outstanding bonds.
4. Cash dividends were to be paid only out of earnings subsequent to Sept. 1, 1923, and only if the current assets after deducting such dividend are no less than 200% of current liabilities, and net current assets are not less than 200% of the outstanding bonds at par.

B. Statistical exhibit, Dec. 31, 1928:

1. Interest had been earned 12 times in 1928; an average of over 11 times in 1923–1928; and at least 3½ times in each of the past six years.
2. The market value of the preferred and common stock on Dec. 31, 1928 was \$110,000,000 or 22 times the bond issue of \$5,000,000.
3. The consolidated net current assets on Dec. 31, 1928, were \$28,700,000, or more than five times the outstanding bonds.
4. The consolidated net tangible assets applicable to the bonds were over 14 times the amount of the issue.

C. History subsequent to 1928: In the four years 1929–1932 the consolidated surplus decreased from \$39,600,000 to \$400,000. Of this shrinkage, \$6,000,000 represented dividends paid and the balance was due to operating and other losses. Coincidentally, the net current assets of \$28,700,000 were converted into a net excess of current liabilities amounting to \$2,400,000, a total shrinkage of over \$30,000,000.

The operations of the sinking fund reduced the bond issue to only \$2,000,000 at the end of 1931, but the sinking-fund installment due July 1932 was not met. In February 1933 receivers were appointed. Interest on the bonds due March 1933 was defaulted, and the principal was also defaulted in September 1933.

The bonds, which had sold as high as 101½ in 1931 and at 92 in 1932, declined to 24 at the end of 1933.

It is to be noted that no action was taken by the trustees or by the bondholders at the time of default in the sinking fund in July 1932, nor at the time the working capital first declined below the stipulated minimum. Prompt defensive measures then might have compelled payment of the relatively small bond issue. A bondholders' protective committee was formed after the receivership. Finding reorganization plans impracticable, it favored liquidation; but it then found legal difficulties in the way of foreclosing on its lien.